The Pitch Deck, Audited (Group 6): Speaker Script

MCCJ 527 | 10-minute group presentation | 6 members × 2 slides × ~50 seconds each

Tips: *Text in [square brackets] is a stage cue, not something to say aloud. Each slide is about 110–130 words, roughly 50 seconds at a calm pace. Practise once with a timer.*

MEMBER 1 – Roll 27 – Minhaz Ahamed Khan Nabin

Slide 1: Cover: AEY Inc., audited (about 50 seconds)

[Walk to the front like a confident startup founder.] Ladies and gentlemen, investors, thank you for coming. Our company is AEY Incorporated, of Miami Beach. We supply ammunition to the United States military, and this year we won a contract worth almost 300 million dollars.

[Drop the act. Point to the red stamp.] Good morning. We are Group 6, and that pitch was not real. Our film is War Dogs, from 2016. Today we let AEY pitch itself to you, slide by slide, the way a startup would. But every slide has been audited. In red, you will see what our criminology course says is really going on. Our audit question: is AEY a business, or organized crime?

Slide 2: The founders (about 50 seconds)

Slide two of every pitch: meet the founders. *[Left card.]* Efraim Diveroli, the CEO, still in his early twenties. He learned the arms trade through his uncle's business and bids for Pentagon contracts from his laptop. *[Right card.]* David Packouz, his childhood friend: a massage therapist, broke, with a baby on the way.

[Bottom strip.] The film was directed by Todd Phillips, with Jonah Hill and Miles Teller, and it is based on Guy Lawson's reporting, so these are real people.

[Audit panel.] Here is our audit scope. One question: is AEY a business or organized crime? And four tests from our course: definitions, theories, models, and corruption. Sweety, show them the problem AEY says it solves.

MEMBER 2 – Roll 08 – Jesmin Naher Sweety

Slide 3: The problem (about 50 seconds)

Thank you, Nabin. Every pitch starts with a problem. AEY's problem sounds simple: the Pentagon is supplying two wars, it posts its tenders on a public website, and the big defence companies ignore the small orders. So there is money on the table.

[Point to the stamp.] But our auditors found a different problem: motive. Merton's strain theory says that when society sets a goal like wealth but blocks the legal means, some people innovate. David is broke and about to become a father. That is strain. Messner and Rosenfeld add that when money dominates, family values get pushed aside: David even lies to his partner about the work. And Sutherland's differential association: he learns the trade, and the excuses, from Efraim.

Slide 4: Our solution (about 50 seconds)

Next, the solution: bid on the crumbs. Step one, find tenders online. Step two, underbid the giants on small contracts. Step three, deliver, whatever it takes.

[Point to step three and the stamp.] "Whatever it takes" means this: a shipment of pistols for the Iraqi police gets stuck in Jordan, so the two of them fly to Amman and drive it through dangerous territory into Iraq themselves.

[Audit.] This is rational choice: a calculated gamble where the reward seemed worth the risk, and success encouraged bigger gambles. And it fits Smith's enterprise model: legal and illegal business sit on one spectrum, driven by the same market demand. AEY started legal and slid into the grey. Jakaria, tell them about our supplier.

MEMBER 3 – Roll 37 – Md. Abir Mahmud Jakaria

Slide 5: Strategic supply partner (about 50 seconds)

Thank you, Sweety. Every startup needs a strategic partner. AEY's is Henry Girard, played by Bradley Cooper. He has access to about one hundred million rounds of ammunition sitting in old state depots in Albania. That is exactly what AEY needs for its big Afghan contract.

[Point to the red line and the stamp.] The auditor's red flag: Henry is on a terrorist watch list, so he cannot sell to the US government himself. He needs a clean American company as a front.

[Audit.] This is Morselli's network model: power belongs to brokers who connect worlds that cannot reach each other. It is also Albini's patron–client model: Henry gives access, AEY gives him a share. *[Bottom note.]* Henry is a composite, inspired by a real Swiss arms broker.

Slide 6: Unit economics (about 50 seconds)

Now the money. AEY's pitch is simple: buy old stock cheaply, sell it at the contract price, and keep the margin. *[Trace the bar.]* But look at who takes a cut along the way: the supplier, the broker, and what we have politely labelled "local fees": officials and middlemen who control access to the state depots.

[Audit.] Transparency International defines corruption as the abuse of entrusted power for private gain. Klitgaard's formula explains why it grows here: corruption equals monopoly plus discretion minus accountability. Henry controls access, officials have discretion, and wartime oversight is weak.

[Bottom note.] And one real fact the film leaves out: in March 2008, an explosion at Albania's Gërdec ammunition depot killed 26 people. Imran, over to you.

MEMBER 4 – Roll 33 – Imran Mridha

Slide 7: Operational innovation (about 50 seconds)

Thank you, Jakaria. Here is the slide every investor should read twice: "operational innovation". AEY says it modernized the packaging, moving millions of rounds from old wooden crates into new cardboard boxes.

[Point to the stamp.] Our auditors call it fraud. The ammunition was made in China, and Chinese ammunition was banned by a US arms embargo and by the contract itself. The repacking removed the Chinese markings so the rounds could pass as Albanian. This really happened.

[Audit.] Sutherland called this white-collar crime: crime committed by respectable people in the course of their jobs. And Sykes and Matza explain how they live with it. "The troops still get working bullets" is denial of injury. "The government buys from shady sources too" is condemning the condemners.

Slide 8: Traction (about 50 seconds)

And here is the slide every founder loves: traction. Two young men from a Miami apartment win a 298-million-dollar contract to supply ammunition to the Afghan National Army.

[Audit.] But this is where our audit asks its main question: is AEY organized crime? Let's apply the UN definition, Article 2 of the Convention against Transnational Organized Crime. A structured group of three or more people? Yes: Efraim, David, their financier, Henry and the suppliers. Existing over a period of time? Yes, years of contracts. Serious crime? Yes: fraud and false statements. For financial benefit? Clearly. And transnational? It crossed the US, Jordan, Iraq, Albania and Afghanistan. So, by the UN definition, yes. Akif, what about the risks?

MEMBER 5 – Roll 24 – Ahnaf Akif

Slide 9: Risk factors (about 50 seconds)

Thank you, Imran. Every pitch deck has a risk slide, and it is usually the one nobody reads. *[Left column.]* AEY's risks sound like boilerplate: media attention, regulatory scrutiny, partner disputes, legal exposure.

[Right column, red.] Our audit shows every single one came true. A press exposé in 2008, an Army suspension and indictments, a betrayal when Efraim cut Henry out, and finally the sentences: four years in prison for Efraim, seven months of house arrest for David.

[Audit panel.] Now the second test: Abadinsky's attributes of organized crime. AEY has no political goal, but it has no hierarchy, no exclusive membership, no code of rules, and it did not survive its leaders' arrest. So, by the classic test, AEY is not the mafia.

Slide 10: Competitive landscape (about 50 seconds)

So where does AEY sit among criminal organizations? Here is the classic pitch-deck two-by-two. *[Trace the axes.]* Left to right: loose network to rigid hierarchy. Bottom to top: illegal front to legal front.

The mafia family, Cressey's model, sits bottom right: hierarchical and openly illegal. Trafficking networks sit bottom left. AEY sits top left: a legal company on the surface, run as a loose network.

[Audit.] So which model fits? Smith's enterprise model and Morselli's network model fit strongly. Albini's patron–client model fits partly. Cressey's hierarchy hardly fits at all. Our classification: organized white-collar crime, made possible by what Kramer and colleagues call state-corporate crime, a government outsourcing war to the lowest bidder. Nishit will give the final opinion.

MEMBER 6 – Roll 21 – Nishit Kumer

Slide 11: Auditor's opinion on the film (about 50 seconds)

Thank you, Akif. Every audit ends with an opinion, and ours is on the film itself. Our opinion is "qualified": accurate in substance, exaggerated in style.

[Left.] What it gets right: it breaks the mafia stereotype and shows crime as a business with invoices and contracts. It fits the UN definition and the enterprise and network models. Its characters never see themselves as criminals. And the key facts are real: the contract, the repacking, the sentences.

[Right.] Our qualifications: the comedy makes the money look glamorous and the fraud look like an adventure. Henry is a composite. The film blames two young men more than the system that hired them. And the real victims, soldiers and taxpayers, barely appear.

Slide 12: Final audit opinion (about 50 seconds)

So, investors, here is our final audit opinion: do not invest. *[Pause.]*

Our answer to the question: AEY is organized crime under the UN definition, but it is not the mafia. It is organized white-collar crime, best explained by the enterprise and network models, and made possible by weak state oversight.

And the lesson for Bangladesh: our own large public purchases also depend on contractors and middlemen. Checking who really owns a company, where its goods come from, and who is taking a cut is not paperwork. It is crime prevention.

On behalf of Group 6, thank you. We are happy to take your questions.